

Compensation Act, 1963

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Compensation Act, 2019

Royal Seal and Publication Date

2019.12.30

Amending Acts

1. This Act came into force from Jestha 15, 2065. Republic Strengthening and Amendment of Some Nepal Laws Act, 2066 2066.10.7

Act No. 56 of the year 2019

An Act Made to Provide for Compensation

Preamble: Whereas it is desirable to provide compensation for property acquired or to be acquired by the Government of Nepal in accordance with the law in force in Nepal,

His Majesty King Mahendra Bir Bikram Shah Dev has enacted this Act in pursuance of Article 93 of the Constitution of Nepal. 1. Short Title and Commencement: (1) This Act may be called the "Compensation Act, 2019".

(2) This Act shall come into force immediately. 2. Definition: Unless the subject or context otherwise requires, in this Act,-

(a) "Property" means any property acquired or to be acquired in accordance with the law in force in Nepal.

(b) "Owner" means a person who has received a stock or who has a right in such stock.

(c) "Stock" means a stock issued under this Act.

(d) "Bank" means the Nepal Rastra Bank.

(e) "Prescribed" or "as prescribed" means prescribed or as prescribed by the rules made under this Act. 3. Acquisition of Any Property: (1) If the Government of Nepal deems it necessary to acquire any property for the public interest, it may acquire such property.

(2) The amount of compensation for the property acquired under subsection (1) may be determined by an official prescribed by the Government of Nepal.

(3) A person dissatisfied with the amount of compensation determined under subsection (2) may appeal to the Government of Nepal within 35 days from the date of receipt of notice of such determination, and the decision of the Government of Nepal shall be final.

(4) Notwithstanding anything contained above, if the compensation of any property has been prescribed in accordance with the prevailing law, it shall be determined accordingly and compensation may be given under

this Act. 4. Provision of Compensation: The compensation for property abolished, acquired, or to be acquired in accordance with any Nepali law Deleted by the Republic Strengthening and Amendment of Some Nepal Laws Act, 2066. may be given in the form of stock under this Act. Provided that, if the Government of Nepal so desires, it may also give compensation in cash to the person entitled to compensation. 5. Authority to Issue Stock: For the compensation to be given under this Act, the Government of Nepal or the Bank may issue stock in the form prescribed, as required. 6.

Payment of Principal and Interest of Stock: Notwithstanding anything contained in the prevailing Nepali law, the Bank, on behalf of the Government of Nepal, shall, subject to section 7, pay the principal and interest as mentioned in the stock to the owner or to the person designated by him. 7. Payment Period and Rate of Interest: (1) The Government of Nepal may, by publishing a notice in the Nepal Gazette, prescribe the payment period and rate of interest of the stock without exceeding the upper limits specified below:- (a) Payment period: 20 years, (b) Rate of interest: 5 percent. (2) Notwithstanding anything contained in subsection (1), if the Government of Nepal so desires, interest may be paid from the date of abolition or acquisition of any property. 8. Bank May Be Trustee of Stock: (1) The Bank may be the trustee of stock given under this Act. (2) The Bank shall register the name of the owner in its account and issue a certificate in the prescribed form to him. (3) If the owner so desires, the Bank may take his stock into its custody and pay interest as prescribed not more than twice a year. 9. Charge of Stock: The amount payable for stock given under this Act shall be a charge on the Consolidated Fund. 10. May Establish Sinking Fund: The Government of Nepal may establish a Sinking Fund for the purposes of this Act. 11. Proceedings Relating to Stock: Proceedings relating to stock issued under this Act may be conducted only by the Bank, and while conducting such proceedings, the Bank shall submit a report on the financial status of the stock in a format approved by the Government of Nepal, from time to time. 12. Transfer of Stock: If the owner makes a written request for the transfer of stock, the Bank may, after collecting the prescribed fee and verifying all matters, effect the transfer. 13. In Case of Dispute Regarding Ownership of Any Stock: If any doubt or dispute arises regarding the ownership of any stock, it shall be settled as determined by the court. 14. Amendment to the Birta Abolition Act, 2016: The Birta Abolition Act, 2016 is amended as follows:- (a) The words "in accordance with the procedure set forth in that Schedule" in subsection (1) of section 9 have been deleted. (b) The sentences in the existing Schedule under "Procedure for Compensation" have been deleted. 15.